Illustration 10

Kumar, Kesavan and Manohar are partners sharing profits and losses in the ratio of 1/2, 1/3 and 1/6 respectively. Manohar retires and his share is taken up by Kumar and Kesavan equally. Find out the new profit sharing ratio and gaining ratio.

Solution

Gaining ratio is 1:1 as Manohar's share is taken up by Kumar and Kesavan equally.

Manohar's share $= \frac{1}{6}$

Share gained = Retiring partner's share × Proportion of share gained

Kumar $= \frac{1}{6} \times \frac{1}{2} = \frac{1}{12}$

Kesavan $= \frac{1}{6} \times \frac{1}{2} = \frac{1}{12}$

Therefore, gaining ratio of Kumar and Kesavan is $\frac{1}{12} : \frac{1}{12}$ that is 1:1.

New share of continuing partners = Old share + Share gained

Kumar $= \frac{1}{2} + \frac{1}{12} = \frac{6+1}{12} = \frac{7}{12}$

Kesavan $= \frac{1}{3} + \frac{1}{12} = \frac{4+1}{12} = \frac{5}{12}$

Therefore, new profit sharing ratio of Kumar and Kesavan is $\frac{7}{12} : \frac{5}{12}$ that is 7:5.

(ii) Proportion of share gained is not given

When new profit sharing ratio, share gained and the proportion of share gained is not given, the new share is calculated by assuming that share gained is the proportion of the old share. Therefore, the new profit sharing ratio and the gaining ratio among the continuing partners is their old profit sharing ratio between them.

Illustration 11

Raja, Roja and Pooja are partners sharing profits in the ratio of 4:5:3. Roja retires from the firm. Calculate the new profit sharing ratio and gaining ratio.

Solution

Since, new profit sharing ratio, share gained and the proportion of share gained is not given, the new share is calculated by assuming that the share gained is in the proportion of old ratio. Therefore, the new profit sharing ratio and the gaining ratio between the continuing partners, Raja and Pooja is their old profit sharing ratio, that is 4:3.

12th-Accountancy-Unit-06.indd 195 1/4/2020 12:04:00 PM